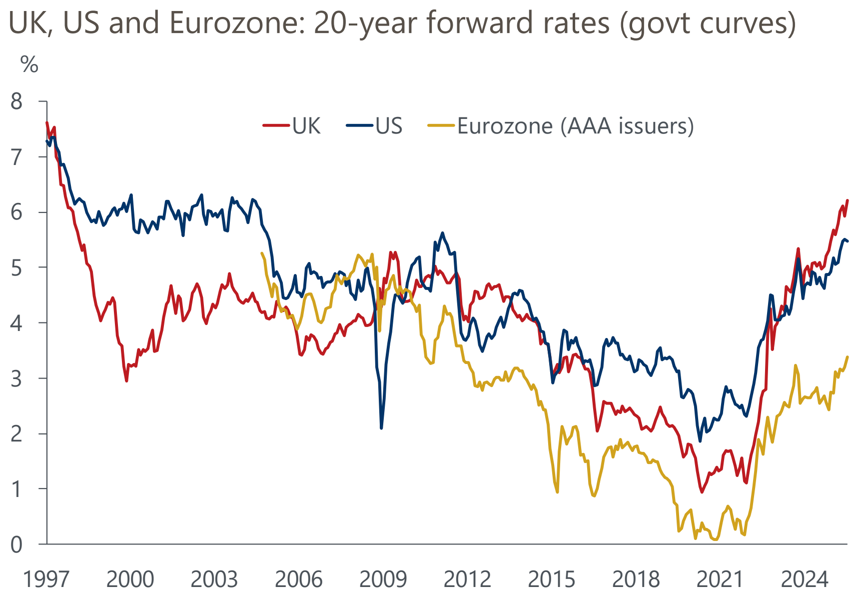
Research briefing | UK

BoE likely to slow QT to avoid adding to gilt market strains

- **In response to the sharp rise and higher volatility in gilt yields, the Bank of England is likely to reshape its quantitative tightening (QT) program for the next year (from October 2025-September 2026).**
- **The BoE's QT program is probably not the main cause of the recent gilt market strains, which have seen long forward rates rise to the highest level since the late 1990s. But the central bank will want to ensure that its QT decisions do not make things worse.**
- **In the currently stressed conditions for bond markets, the BoE will no doubt worry that an upside surprise in QT or a return to sizeable active sales of long gilts might cause significant further upward pressure on gilt yields. Such an outcome potentially could worsen the government's finances, create wider financial instability or damage the economy.**
- **We expect the Monetary Policy Committee will set next year's QT target at £75bn-£80bn – close to market expectations, but below the current pace of £100bn per year. The BoE is likely to focus active gilt sales for the next quarter on shorts and mediums rather than long gilts.**
- **It's also possible that the BoE could announce that most of its holdings of long-dated gilts (20+ years) will never be sold. Instead, they will be held to maturity on the BoE balance sheet as the counterpart to the stock of notes and coin. Together with a shift to a repo-based system for banks' reserves, this would eliminate interest rate risk from the BoE balance sheet and eventually ensure the BoE earns a steady profit (which would, as normal, be transferred to the Treasury). Such a move would signal that active sales of long gilts will also stay low in subsequent years.**

The Bank of England's quantitative tightening (QT) program is the unwinding of gilts and corporate bonds held in its Asset Purchase Facility (APF) that were bought through its prior quantitative easing (QE) programs. The Monetary Policy Committee is due to set the QT target for the next twelve months (October 2025-September 2026) at the September policy meeting; it may also give some indications of its intentions at the August meeting.

Chart 1: UK forward rates have risen to the highest levels since the late 1990s



Source : Oxford Economics/Haver Analytics

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The BoE aims to ensure its QT program does not have major effects

The MPC has said that three principles will guide its QT program, aiming to "keep QT in the background" for monetary policy and financial markets:

- Bank Rate is the active monetary policy tool, unless the required change in Bank Rate is constrained by the Effective Lower Bound (ELB);
- Bond sales to be conducted so as not to disrupt the functioning of financial markets; and
- Bond sales to be conducted in a relatively gradual and predictable manner over time.

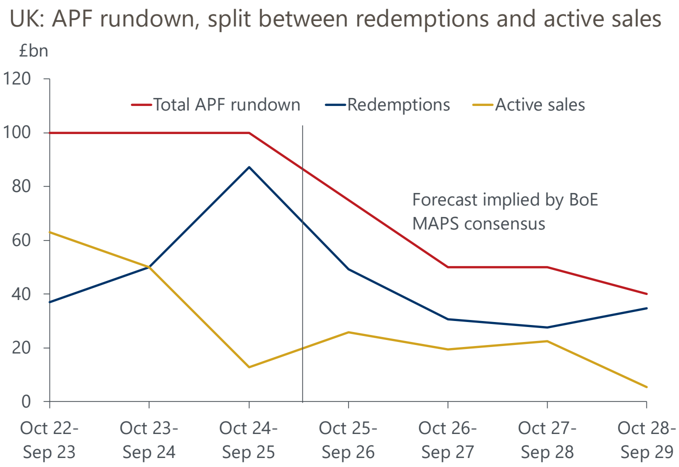
For the BoE, the term 'quantitative tightening' is really a misnomer, because QT is not principally aimed at tightening monetary policy, let alone working through some quantity of money channel. Instead, unlike QE, QT is intended to be as boring as watching paint dry, with little or no implications for the economy and macro policy.

The MPC has made clear that QT carries no signal of prospects for Bank Rate, whereas QE signals "a lower for longer" stance. Moreover, the effects of both QE and QT on bond yields (and hence the economy) are small when bond markets are working normally, but relatively big when markets are stressed. Since most QT has occurred when markets are working normally and most QE occurred when markets were stressed, the effects of QT have been much smaller than QE. The BoE estimated that in 2022-2024 (when market conditions were not stressed), QT lifted gilt yields modestly (by 10bps-20bps) with little effect on the economy.

QT began in late 2022, with £80bn of gilts and £20bn of corporate bonds in the first year (October 2022-September 2023), followed by £100bn of gilts each year since then. In the first two years, the split was roughly 50:50 between redemptions and active sales. In the current period (October 2024-September 2025), redemptions total £87bn and active sales are only £13bn. For next year (October 2025-September 2026), APF redemptions total £49bn, so if the QT target stays at £100bn, active sales will rise to £51bn.

The external consensus (from the BoE MAPS survey) is that QT will slow to £75bn in October 2025-September 2026, £50bn in 2026-2027, £50bn in 2027-2028, and £40bn in 2028-2029. Allowing for redemptions, these figures imply active sales of £26bn in 2025-2026, £19bn in 2026-2027, £22bn in 2027-2028, and close to zero in 2028-2029.

Chart 2: The consensus expects a sharp slowdown in the QT program



Source : Oxford Economics/Haver Analytics

The case for slower QT reflects several arguments:

- It is inconsistent to do QT when the MPC is loosening monetary policy through Bank Rate;
- With commercial banks' total reserves now close to equilibrium, continued rapid QT might create reserves shortages that could lift money market rates well above Bank Rate; and

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- With current stressed gilt market conditions, a resumption of sizeable active gilt sales might cause significant further upward pressure on long gilt yields, creating undesirable and unpredictable effects, e.g. higher government borrowing costs, financial stability problems, or damaging the economy.

We doubt the first two arguments will convince the MPC, but believe the third will. Let's go through them.

Is it inconsistent to do QT while cutting Bank Rate?

MPC external member Catherine Mann recently disagreed with the standard MPC view that QT is not a monetary policy tool. She argued that even when markets are functioning normally, the "potential tightening effects of QT cannot be perfectly offset by cuts in Bank Rate" and that QT should be considered as a separate monetary policy tool to Bank Rate. This view would imply that – regardless of whether markets are stressed – if the MPC is cutting Bank Rate it should probably not also be doing QT.

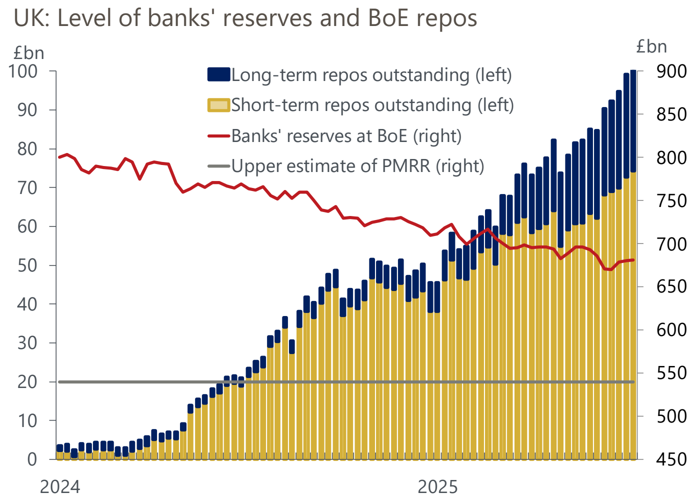
We doubt other MPC members will agree with Mann's view. Mann's speech cites as evidence a recent European Central Bank study that showed that changes in two-year rates matter more than policy rate changes for the Eurozone economic outlook. That's not surprising: 2-year rates reflect policy rate expectations, and most economists agree that these expectations matter as much, if not more, than the overnight rate, especially for the Eurozone where most private debt is not linked to very short-term rates.

But that study has no implications for QT's effects. If QT has any impact, it's on longer yields (i.e. 10-years or longer). It does nothing to 2-year yields, partly because the BoE does not sell gilts below three years maturity and partly because 2-year rates reflect policy rate expectations and QT contains no signal of prospects for Bank Rate. The ECB study does not discuss whether changes in short rates can offset changes in longer-term rates (10 years-plus). Nor did it argue that QT affects 2-year yields. The other MPC members are likely to maintain the MPC's standard view that it is not inconsistent to do QT while cutting Bank Rate, as long as Bank Rate is well above the ELB and markets are functioning normally.

Rising use of BoE repos also is not a reason to slow QT...

Gilt purchases during QE were financed by expanding commercial banks' reserves at the BoE, lifting reserves far above levels that those banks would choose to hold, called the Preferred Minimum Range of Reserves (PMRR). With QT (and unwinding of the Term Funding Scheme), reserves are down from £979bn in 2022 to £681bn now. The BoE estimates that the PMRR is £385bn-£540bn, and expects reserves will hit the upper end of that range in the next year. As reserves approach the PMRR, use of the BoE's lending facilities – the short-term repo (STR) and indexed long-term repo (ILTR) – has risen significantly in recent months.

Chart 3: As banks' reserves have fallen, use of BoE repos has risen sharply



Source: Oxford Economics/Haver Analytics

Some commentators argue that the BoE should now slow QT to avoid creating shortages of reserves that might cause money market strains. For this argument, what matters is that reserves are approaching the PMRR – it is irrelevant if QT involves active sales or not. A similar argument has led the US Federal Reserve to announce a slower rundown of its government bond holdings.

However, there is a big difference between the BoE and Fed plans for their steady state balance sheets. The Fed intends to hold a large permanent stock of Treasury securities as the counterpart to banks' reserves. Hence, for the Fed, rising use of its lending facilities could signal undesirable money market strains. By contrast, the BoE plans to move to a repo-based system, where banks' reserves are supplied by borrowing through the STR and the ILTR, rather than through the BoE holding a permanent large stock of gilts. For the BoE, rising use of the STR and ILTR as reserves approach the PMRR is not a problem; rather it signals the system is working as intended. Consistent with this, money market interest rates have been fairly stable.

For the BoE, the advantage of moving to a repo-based system for supplying banks' reserves is to remove interest rate risk from its balance sheet in normal times. Currently, the BoE faces a mismatch between the interest rate on its assets (APF gilts, average fixed interest rate of about 2.4%) and the rate on its liabilities (banks' reserves, which pay variable interest at Bank Rate, currently 4.25%). The resulting losses are covered by an indemnity from the Treasury.

The current interest rate mismatch is acceptable as a temporary effect of prior QE programs. But if the BoE held a large stock of APF gilts indefinitely, there would be a lasting shift in the effective maturity of government debt from long-term fixed rate to floating rate. That could cause further BoE losses in the future (which would be politically embarrassing) and make the overall fiscal position less resilient to shocks. It would be inconsistent with the government's instructions that "the Bank seeks to implement its policy decisions through balance sheet operations that ensure value for money by minimising financial costs and risks to its capital and any future contingent capital exposure, whether that risk is borne by the Bank or indemnified by HMT, thus protecting public funds." The shift to a repo-based system for reserves solves this issue.

This issue is less significant for the Fed. Unlike the BoE, it can carry losses on its balance sheet as a 'deferred asset', rather than seek extra capital from the government. Moreover, its bond holdings are mostly quite short maturity, and hence any interest rate mismatch fades quite quickly through redemptions and reinvestment.

From this angle, there is an advantage in doing QT quickly, to eliminate the BoE's interest rate risk and shift to a repo-based system as soon as possible. Even if QT stays at £100bn per year, the switch to a repo-based system would be gradual, taking about six years to complete. With slower QT, it would take even longer.

...but eliminating the BoE's interest rate risk doesn't necessarily mean selling all APF gilts

The aim of removing interest rate risk from the BoE balance sheet does not necessarily mean that all the APF gilts must be sold or redeemed. The BoE could (like the Bank of Canada) signal it intends to keep some APF gilts as the counterpart to the stock of outstanding notes and coin. The currency stock is a government liability with zero interest rate, and unless cash usage ends, it is effectively a permanent liability. Holding an equal amount of long gilts to maturity would give the BoE a steady profit (equal to the gilt yield times the currency stock). For this purpose, it would be better for the BoE to hold long-dated rather than short-dated gilts to lower its interest rate risk.

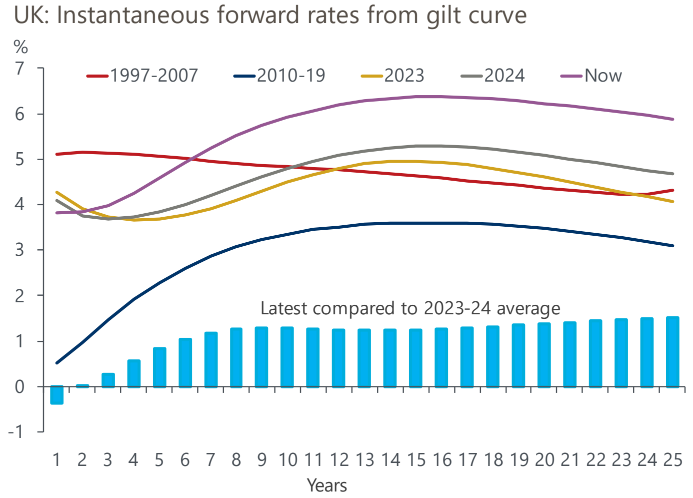
In this case, the future steady-state BoE balance sheet would match variable rate liabilities (banks' reserves) with variable rate assets (STR and ILTR), while matching the currency stock (effectively a zero-rate liability) with a fixed interest asset (gilts). The BoE would face virtually no interest rate risk. Indeed, the BoE will earn a modest (low risk) profit, because first, the interest rate at which it supplies reserves through the ILTR is marginally above Bank Rate (the interest rate on banks' reserves); and second, it will receive interest on gilts backing the currency stock.

Would an upside surprise in QT exacerbate gilt market weakness?

Even while the MPC has been cutting Bank Rate, gilt yields have risen sharply over the last year, with 10-year and 20-year forward rates around the highest since the late 1990s. Moreover, gilt yields have been highly volatile, with yields moving sharply in response to news and rumour, especially at the long end. Short yields have been more anchored by policy rate expectations, which have moved less.

It's not clear whether the APF's gilt sales have been a key factor in these market strains. Yields have also risen in the US and Eurozone, neither of which are doing active sales of QE bond purchases, and the sharp rise since late-2024 has come when APF active sales have been low. Likely causes also include worries over persistent fiscal deficits and lower demand for long-dated bonds from UK pension funds.

Chart 4: UK forward rates have risen sharply amid stressed gilt market conditions



Source: Oxford Economics/Haver Analytics

However, in line with its stated principles, the BoE will aim to reduce the risk that its QT decisions have unpredictable and damaging effects. Even if QT normally has little effect, the BoE will probably worry that the current stressed gilt market conditions are precisely when an upside surprise in QT (i.e. £100bn target) might have big effects and cause yields – especially long gilts – to rise significantly further. Such an outcome could hurt the public finances, because of higher yields on new gilt issues and even larger losses on APF long-gilt sales. It also could create financial stability problems and worsen the economic outlook. Of course, if a QT-induced surge in yields did undermine the economy, the MPC could cut rates to offset this. But it might be hard to calibrate the appropriate response, given the possible volatility of gilt yields under current stressed market conditions. The MPC would prefer not to face such a situation.

For this issue, it is the fact that a £100bn QT target would be an upside surprise to markets and implies a sharp rise in active sales which is the problem, especially if active sales include a lot of long gilts.

What will the MPC do?

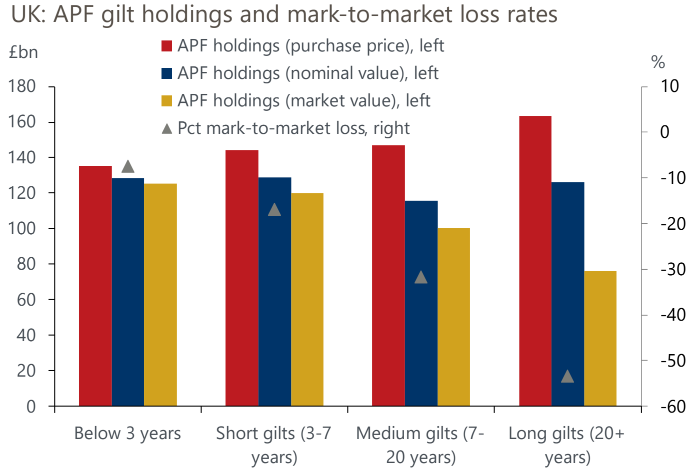
We believe that worries about the possible effects of resuming large active sales (especially of long gilts) under stressed market conditions will convince the BoE to adjust its QT program, even though other arguments (reserves shortages, consistency with monetary policy) probably carry little weight with the BoE.

We think the most likely outcome is that the MPC will set the QT target for the year ahead at £75bn-£80bn (i.e. near market expectations), implying active sales of £26bn-£31bn. At the same time, the BoE will announce that active gilt sales for the next quarter will be focussed on shorts (3-7 years) and mediums (7-20 years), for which market stress has been lower, with only a modest amount of longs (20+ years). Currently, the APF holds £290bn of shorts and mediums (valued at purchase price), and so there is ample scope for active sales of these. This would leave open the possibility of a higher share of long gilt sales in subsequent quarters, and/or a return to £100bn annual QT in later years, if gilt market conditions improve.

But it's possible that, while announcing roughly £75bn QT for the year ahead, the BoE will also announce that a large part of the APF's holdings of long gilts will never be sold. Instead, those gilts will be transferred to the BoE balance sheet and held to maturity as the counterpart to the currency stock.

The APF's long gilt holdings currently total £163bn at purchase value, £126bn at nominal value, and £76bn at market value (unrealised mark-to-market losses are £87bn). The currency stock is £93bn. If roughly three quarters of the APF long-dated gilts are transferred to the BoE balance sheet and revalued down from purchase value to nominal value (i.e. par), the BoE would hold £93bn of long gilts at nominal value (£120bn valued at APF purchase price) to match the currency stock.

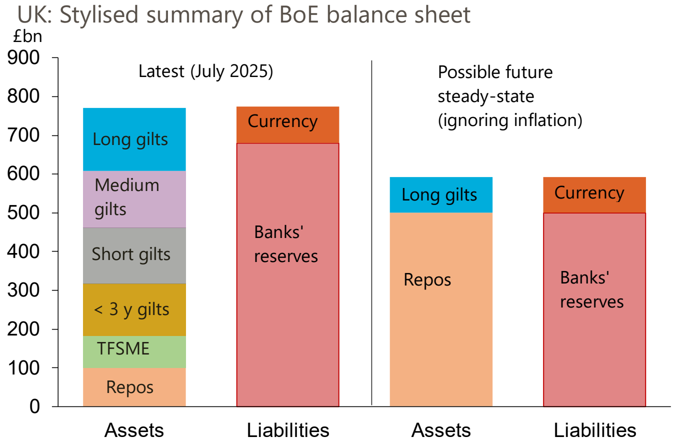
Chart 5: The APF's potential capital losses mostly stem from long gilts



Source: Oxford Economics / Haver Analytics

The average coupon yield on the APF's long gilts is 2.7%, so the BoE would receive £2.5bn annual interest (the interest paid on currency is zero), with no prospect of either capital gains or losses on its gilts if held to maturity. There would need to be a one-off rise in government debt (roughly £27bn) to offset the crystallised APF capital losses, which would add £1.2bn to the government's annual debt interest payments.

Chart 6: The BoE could retain most of its long gilts and also eliminate interest rate risk



Source: Oxford Economics

The remaining long-dated APF gilts (£43bn at purchase price, £20bn at market price) would be available for sale. But they would account for only 13% of the APF's remaining gilts for sale, and hence form a small share of any annual active gilt sales target in the coming year and thereafter.

In this outcome, the BoE's net interest income on its gilt holdings and repos would eventually (once the adjustment to a repo-based system is complete) comfortably exceed its total operating costs, which were £855m in 2024. If the BoE makes a surplus, it is remitted to the Treasury unless the BoE's capital base is below the required level. The BoE's future surpluses would be smaller than if the currency stock is matched by gilts with today's market yields. But this strategy removes the risks and capital losses that could arise from selling all the APF's long gilts.

If the BoE intends to hold gilts to balance the currency stock, it's not inevitable that this decision is announced this year. But the advantage of announcing the shift this year would be to reduce uncertainty over the future program for QT and active sales, which may help ease gilt market strains. Moreover, it's now feasible to consider the broad outline of the BoE's future steady-state balance sheet, given that over the last year the Bank has stated its intention to move to a repo-based system for reserves.

With either outcome, the key point is that the scale of long gilt sales would be much less than in 2023 and 2024. The first option would still leave the possibility of higher long gilt sales in later years, while the second option would remove that possibility (because the APF would only be left with a small holding of long gilts).

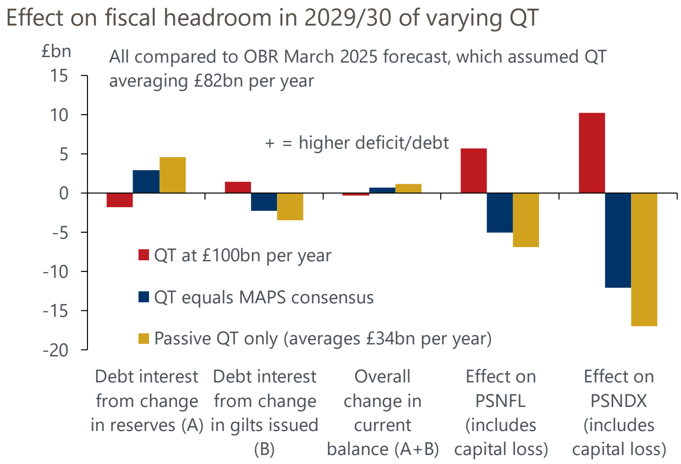
Changes in QT targets matter for gilts but not for monetary or fiscal policy

The main effect of any of these options would be to reduce risks that the BoE's QT program further destabilises the gilt market.

Unlike a year or two ago, modest variations in the QT target no longer have significant implications for the government's ability to hit its fiscal rules. The shift of the debt target from public sector net debt (PSNDX) to public sector net financial liabilities (PSNFL) has greatly reduced the impact on the future debt trajectory from APF losses on active gilt sales. Under the previous PSNDX measure, these losses threatened to significantly constrain fiscal policy.

Ignoring any shifts in the maturity of gilt sales, a higher QT target implies a faster decline in the APF's interest rate mismatch. But it also implies higher near-term capital losses on APF gilt sales, which means extra gilt issuance to cover APF losses. This extra issuance increases the government's debt interest payments. These two effects roughly cancel out for the current balance, which is the binding fiscal constraint. The extra debt would reduce headroom against the debt target, but this is currently not binding.

Chart 7: Modest variations in the QT target have little effect on the fiscal position



Source: Oxford Economics / Haver Analytics

Note that in the chart above, we assume APF active gilt sales are spread across the yield curve. A shift towards active sales of shorts and mediums rather than long gilts would further reduce APF capital losses. This is because the mark-to-market loss rate on the APF gilt holdings is much lower for shorts (17%) and mediums (32%) than for long gilts (54%). This would increase headroom against the PSNFL target, but not affect headroom against the current balance, which currently is the binding constraint.

Nor do modest variations in the QT target have significant implications for monetary policy. As discussed previously, most MPC members are likely to continue to judge that – provided they avoid destabilising the gilt market – modest variations in the QT target have little effect on the economic outlook and hence don’t matter either way for monetary policy.